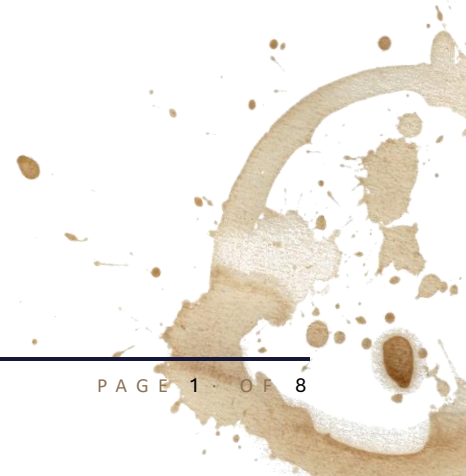

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U.S. ECONOMICS NEWS

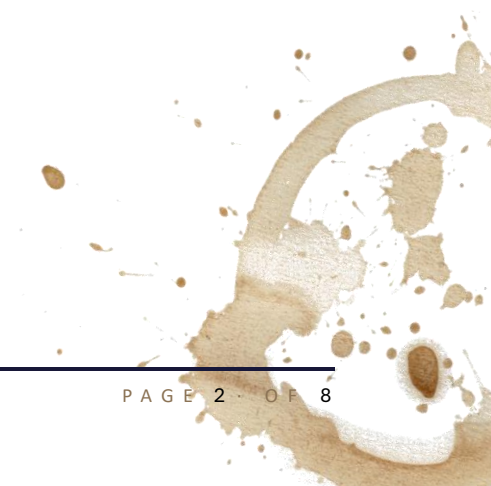
- **S&P 500 Earnings:** Consensus 2026 earnings growth estimates for the S&P 500 have risen to 25.0% as of July 3, up from 14.6% at the start of the year, with seven of eleven sectors projected above 10%; Energy leads at 69.8%, followed by Information Technology at 56.8%, reflecting strong post-tariff corporate profitability despite difficult year-over-year comparisons.³
- **Revenue Outlook:** S&P 500 revenue growth estimates hold at 10.4% for 2026 and 7.6% for 2027, with all eleven sectors showing positive figures; Information Technology stands out at 31.3% and 19.6% respectively, suggesting AI-driven demand is sustaining top-line expansion alongside the earnings recovery.³
- **Market Breadth:** In the first half of 2026, 46.3% of S&P 500 stocks outperformed the index, a meaningful shift from the 27–31% range seen in 2023–2025 — among the most concentrated stretches in three decades; the Magnificent 7 collectively dragged index returns by nearly two percentage points, with Microsoft alone falling 22.5%.³
- **Treasury Yields:** Treasury yields rose materially the week ended July 10, with the 10-year reaching 4.56% and the 30-year crossing 5.06%, as renewed U.S. strikes on Iran and hawkish Fed commentary pushed the implied probability of a July rate hike from 18% to 34%; oil rose 4% on the week as Strait of Hormuz tensions escalated.³
- **Fund Flows:** Taxable bond funds attracted \$16.2 billion in inflows for the week ended July 1, while domestic and foreign equity funds saw combined outflows of over \$10 billion, reflecting investor caution amid geopolitical uncertainty and rising rates; money market retail assets continued to grow, adding \$4.4 billion the following week.³
- **Federal Spending:** Despite claims that executive centralization threatens long-term economic growth, federal spending over the past twelve months is barely above Biden-era levels in nominal terms; relative to GDP, the federal government has been shrinking, leaving a larger share of resources in private hands — a trend the authors argue is broadly pro-growth.³



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DIGITAL ASSETS NEWS

- **USDT Dominance:** After reaching a four-year peak of 9.35% — a level reflecting peak risk-off sentiment and capital fleeing into stablecoins — USDT dominance retreated to 8.54%. This decline signals traders rotating out of cash equivalents and back into risk assets. Historically, such pullbacks in stablecoin dominance have preceded broader crypto market rallies, as sidelined capital re-enters Bitcoin and altcoins.⁵
- **8-Week Outflow Streak Broken:** Spot bitcoin and ether ETFs both reversed prolonged eight-week outflow streaks during the week ending July 12, marking a meaningful shift in institutional sentiment. The simultaneous reversal across both assets suggests broader renewed appetite for crypto exposure rather than isolated repositioning, potentially signaling that the extended period of redemption pressure has subsided and fresh capital is beginning to re-enter the market.⁵
- **Clarity Act Update:** A revised draft of the Digital Asset Market Clarity Act is expected imminently, merging legislation separately passed by the Senate Banking and Agriculture committees into a unified framework. The consolidated bill aims to resolve jurisdictional tensions between the SEC and CFTC over crypto oversight, marking a significant step toward comprehensive federal regulation of digital asset markets.⁵



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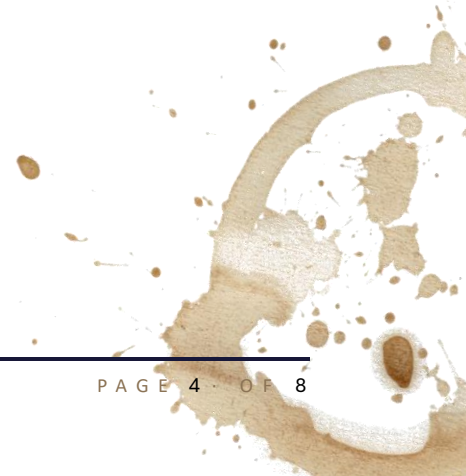
GEOPOLITICS NEWS

- **Germany:** Chancellor Merz announced Germany will purchase US Tomahawk cruise missiles and station them on German soil, calling it a move to close a "strategic gap" in national defense. The deal was finalized on the sidelines of the NATO Ankara summit, alongside Germany's parallel commitment to develop European missile systems.¹
- **Iran:** Trump declared the interim ceasefire deal with Iran "over" after Iranian forces struck US military bases in Bahrain and Kuwait in retaliation for American airstrikes responding to tanker attacks in the Strait of Hormuz. The collapse followed a breakdown in talks over the weekend, with Iran claiming full control over the strait and the US pledging to take it over and charge a 20% toll on all cargo transiting the waterway.¹
- **Japan:** Japan is building its first centralized intelligence agency since World War II, quietly approaching partners including the US, Australia, and Germany for guidance on staffing, technology, and priorities. The move comes as Russia has exploited Japan's historically fragmented and inadequate intelligence infrastructure to evade sanctions and procure weapons components.¹
- **NATO:** At the Ankara summit, Trump privately reaffirmed US commitment to the alliance, telling leaders "we want to remain with you" and pledging continued weapons sales. The summit produced an "ironclad" Article 5 declaration, secured defense production deals, and offered Ukraine both diplomatic support and a potential Patriot missile production license — a notably warmer outcome than many had feared given Trump's pre-summit rhetoric.¹
- **Strait of Hormuz:** Tanker traffic through the Strait of Hormuz slowed sharply following the collapse of the US-Iran ceasefire, with most observable movement confined to Iran-approved northern routes. Oil prices rose 4-5% on the week, while the IEA noted global supply remained nearly 9.4 million barrels per day below pre-war levels despite a partial June recovery.¹
- **US:** Trump indicated he would withhold his signature from a bipartisan housing affordability bill — which would cap Wall Street ownership of single-family homes and streamline construction permits — to pressure Republicans into passing his SAVE America Act on voter ID. Because he is withholding rather than vetoing, the bill can still become law without his signature.¹
- **US:** With stopgap tariffs set to expire, the Trump administration is moving toward new Section 301 duties of 10-12.5% on imports from 60 countries, framed around forced labor enforcement failures. Critics, including Senator Wyden, argue the policy is legally dubious and is functionally a reconstruction of Trump's broader global tariff regime after it was struck down by the Supreme Court.¹

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THE GOOD NEWS

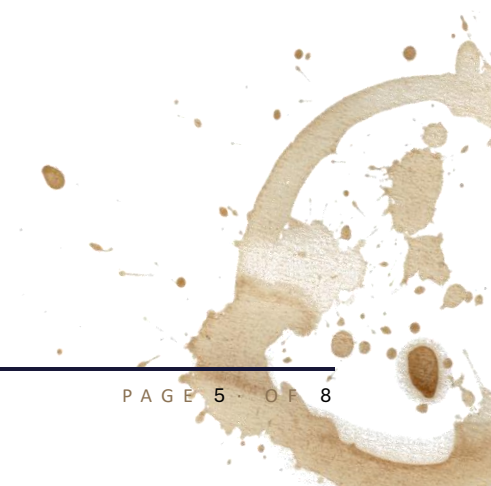
- **Mining to AI:** TeraWulf, a bitcoin miner, signed a 20-year lease with Anthropic for 401 megawatts of AI datacenter capacity in Hawesville, Kentucky, potentially generating \$19 billion in revenue. Miners are uniquely positioned for this transition, already controlling the hardest infrastructure bottlenecks — grid-connected land, power contracts, and cooling systems — that typically make new data centers slow and expensive to build.²
- **Six Nations Rise:** The World Bank's latest income classifications saw six countries move up a tier, with none moving down. Jordan, Micronesia, the Philippines, Sri Lanka, and Vietnam graduated from lower-middle to upper-middle income, while Togo moved out of low-income status entirely. Since 1987, the share of economies classified as low-income has fallen from 30% to just 11%, reflecting decades of compounding global development gains.²
- **AI Catches Traffickers:** Researchers combining AI with 3D X-ray scanning achieved detection rates of 86–96% for trafficked marine species like seahorses, shark fins, and sea cucumbers hidden in luggage or airmail. Marine wildlife trafficking is a booming illicit trade largely invisible to customs, making this technology a potentially transformative tool for enforcement agencies at ports and airports worldwide.²
- **Nuclear Milestone:** Four US microreactor startups — Valar, Antares, Aalo, and Deployable — achieved nuclear criticality ahead of the nation's 250th birthday deadline, surpassing the government's target of three. Notably, three of the four companies were founded only in 2023, signaling a new generation of nimble nuclear developers capable of moving faster than the industry's historically sluggish pace.²
- **Space Mirror Approved:** The FCC licensed Reflect Orbital to test a satellite equipped with a 60-foot mirror designed to reflect sunlight to Earth after dark, with potential applications including powering solar farms overnight, aiding disaster rescue operations, and illuminating urban areas. The company envisions eventually deploying up to 50,000 such mirrors, a concept that could fundamentally expand when and where solar energy is usable.²



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DIVIDEND PORTFOLIO NEWS

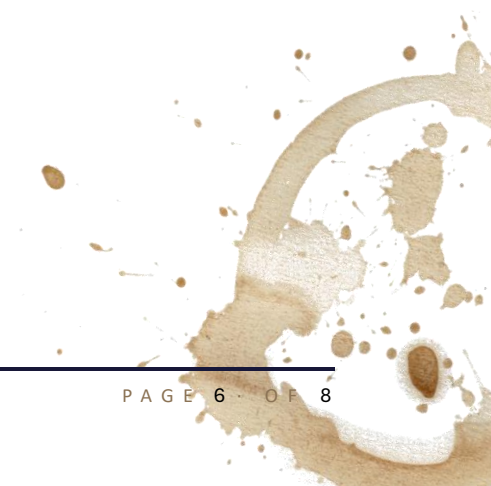
- **ADI:** Analog Devices completed its acquisition of Empower Semiconductor, expanding its power management capabilities — a strategic fit as AI infrastructure drives demand for efficient power delivery in data centers and edge devices.⁴
- **CAT:** UBS notes construction machinery is recovering faster than agriculture, a positive distinction for Caterpillar's mix. The company also acquired Skycatch, an AI-powered drone data platform for mining operations, though shares dipped on the news — market skepticism about the price or strategic fit.⁴
- **FAST:** Fastenal raised its quarterly dividend 8.3% to \$0.26/share, continuing its strong dividend growth track record. Q2 earnings are previewed this week.⁴
- **GD:** General Dynamics' Electric Boat division won a \$255M Navy contract for submarine support services. GD also featured prominently in NATO summit coverage, where defense spending commitments and drone warfare priorities signal a sustained tailwind for its defense and shipbuilding segments.⁴
- **LMT:** Lockheed had a major week: won contracts worth over \$607M, secured a \$502M Army AH-64 helicopter contract, announced ATACMS missile production in Europe with Rheinmetall, and was included in \$3B of White House defense deals at the NATO summit. Ukraine receiving a Patriot missile production license adds further long-term demand visibility.⁴



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GROWTH PORTFOLIO NEWS

- **MARA:** MARA acquired a Texas site for large-scale AI and bitcoin infrastructure, signaling an expansion beyond pure-play mining. Separately, broader bitcoin market volatility remains a headwind, with competitor CleanSpark seeing high short interest — a cautionary signal for the sector.⁴
- **NVDA:** Google is reportedly attempting to sell custom chips to neoclouds, directly challenging Nvidia. China GPU sales expected to remain limited per Wells Fargo. Vera CPU architecture seen outperforming x86. Samsung began mass production of advanced storage for Vera Rubin platform.⁴
- **TOL:** Toll Brothers upgraded to Buy at Citi, citing a K-shaped housing recovery favoring luxury homebuilders.⁴
- **TSM:** TSMC reported record Q2 revenue, up 36% Y/Y, beating estimates on AI demand, with guidance and capex increases expected at its analyst meeting. The company plans three new advanced packaging plants in Taiwan's Chiayi. Fundsmith and ClearBridge both added TSM in Q2. Insider selling noted. Rapidus pricing competition emerging at 2nm.⁴



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SUMMARY

In regard to the United States Economy, corporate earnings expectations have surged, with 2026 S&P 500 consensus estimates now at 25.0%, up from 14.6% at year's start. Market breadth is also improving, with nearly half of S&P 500 stocks outperforming the index in the first half — a notable shift from prior years' extreme concentration. Treasury yields climbed sharply amid geopolitical tension, and bond funds attracted significant inflows as investors grew more cautious.

In the world of digital assets, sentiment shifted meaningfully. USDT stablecoin dominance pulled back from a four-year peak, historically a signal that sidelined capital is rotating back into risk assets. Reinforcing this, spot Bitcoin and Ether ETFs simultaneously ended eight-week outflow streaks, suggesting genuine institutional re-engagement. On the regulatory front, a consolidated Digital Asset Market Clarity Act is expected imminently, aiming to resolve the longstanding SEC-CFTC jurisdictional divide over crypto oversight.

Recently around the globe, geopolitical tensions escalated sharply. The US-Iran ceasefire collapsed after retaliatory strikes on American bases in Bahrain and Kuwait, sending oil prices up 4-5% and severely disrupting Strait of Hormuz traffic. NATO's Ankara summit delivered a warmer-than-expected outcome, with Trump privately reaffirming US commitment and members securing new defense deals. Germany announced Tomahawk missile purchases, while Japan quietly began building its first centralized intelligence agency since World War II.

For the good news, progress arrived on multiple fronts. Six nations advanced to higher World Bank income classifications, continuing a trend that has cut the share of low-income economies from 30% to just 11% since 1987. Four US microreactor startups achieved nuclear criticality ahead of the government's deadline, three of them founded only in 2023. AI-powered X-ray detection is helping customs agencies identify trafficked marine species, and a satellite mirror designed to reflect sunlight to Earth received FCC licensing approval.

In the news for the dividend portfolio, defense holdings had a strong week. Lockheed Martin secured over a billion dollars in combined contracts and featured prominently in NATO summit commitments, while General Dynamics won a Navy submarine support contract with additional tailwinds from elevated global defense spending. Fastenal raised its quarterly dividend 8.3%, continuing reliable growth. Caterpillar received top-pick designations from major banks ahead of earnings, with construction machinery recovering faster than agriculture.

And, for the growth portfolio, TSMC headlined with record Q2 revenue up 36% year-over-year on AI demand, with additional advanced packaging facilities planned in Taiwan. Nvidia traded near decade-low valuation multiples but received Buy reiterations even as Google's custom chip ambitions introduced competitive pressure. MARA expanded into Texas for combined AI and Bitcoin infrastructure, and Toll Brothers was upgraded citing a housing recovery favoring luxury builders.

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RESOURCES

1. Research accumulated from <https://www.patreon.com/cw/PeterZeihan>, <https://x.com/>, and <https://seekingalpha.com/>
2. <https://newsletter.humanprogress.org/>
3. Research accumulated from <https://www.ftportfolios.com/> and <https://bravosresearch.com/research/>
4. <https://seekingalpha.com/>
5. <https://www.coindesk.com/latest-crypto-news>

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